Cooperative trading business: every naira out and in

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Summary

The principle. A cooperative's business must never run on members' withdrawable savings. Each venture gets approved capital, its own society-titled bank account and its own books. Every naira is traced from capital out to profit back.

The money cycle.

1. **Capital.** The general meeting approves a venture and a capital ceiling. The treasurer releases capital in tranches into the business account.
2. **Spending.** Suppliers are paid only on a matched order, delivery and invoice. Expenses follow approved limits. Petty cash runs on a fixed float.
3. **Takings.** All takings land in the business account: transfers and POS directly, and cash by banking the next business day. Nothing is paid from the till.
4. **Return.** Each month, cash above the approved working capital goes back to the society's main account as profit or capital returned.
5. **Year-end.** At least 25% of the society's net profit goes to the reserve fund, as the law requires. The general meeting decides the rest.

What the research found.

- **Successes and failures.** Commodity schemes on payroll credit are the core staff-cooperative business, and large cooperatives add shops, fuel stations and estates. Real estate funded from withdrawable savings is behind most collapses.
- **Tax.** Profits from trading are taxable under the Nigeria Tax Act 2025, even when the customers are members. Small-company and small-business VAT relief may apply.
- **Cash.** Cash is costly to take out of a bank from 2026, and fake alerts are common. Push sales to transfer and bank POS, and bank all cash daily.

What the platform does.

- Records every request, approval, sale, cash-up, count and journal.
- Proves the business account against the bank every day.

- Shows the board and members what their capital earned.

Types of business and how the money comes back

Figures below come from public sources gathered on 11 October 2026. No audited margin for a cooperative shop was found, so treat margins as indications.

Venture	How it earns	Cash cycle	How the money returns	Main risks
Commodity or foodstuff scheme	Bulk buying, sold to members on credit with a markup, often 5% flat over 3 to 12 months	Pay suppliers now, recover monthly	Payroll deductions into the society's account, moved to the business monthly	Employer non-remittance, price swings, members leaving with debt
Consumer shop	Retail margin on daily sales	Daily	Cash, POS and transfer, banked daily	Skimming, stock theft, expiry
Filling station	Margin per litre over the depot price, reported at about ₦20 to ₦104	Daily, large cash volumes	Daily banking, mostly POS and transfer	Cash volume, meter tampering, product loss, licensing
Transport or hire purchase	Daily driver returns, often ₦15,000 to ₦40,000. Hire purchase roughly doubles the vehicle's cost over 1 to 2 years	Daily or weekly	Returns paid into a reserved account per driver	Under-declared returns, accidents, vehicle loss
Water factory	Sachet and bottled water, with reported gross margins of 33% to 37%	Weekly through distributors	Distributor transfers	Product compliance, power costs, distributor credit

Venture	How it earns	Cash cycle	How the money returns	Main risks
Farm produce aggregation	Buy at harvest, sell when prices rise, or process	Seasonal	Sale proceeds	Storage loss, price falls. Farmer-group loans under the Anchor Borrowers scheme saw low repayment
POS or agency banking	Commission of about 0.3%, capped near ₦20 per transaction	Daily	Commission settlements	Thin margin, agent rules, fraud
Real estate	Sale or rent of houses and plots	Years	On sale or rent	Illiquidity. Funding projects with savings members can withdraw is the main cause of collapses

Examples.

- **TotalEnergies.** The staff cooperative reported ₦66.3bn of assets and ₦2.8bn profit after tax in 2022.
- **Chevron.** The staff cooperative owns CEMCS Microfinance Bank outright as a subsidiary company.
- **NNPC.** The Lagos staff cooperative went from a ₦96m surplus in 2021 to an ₦806m loss in 2022. It has held no general meeting since 2023, and faces an EFCC petition.

The lesson. Match the venture to the money funding it. Short-cycle trade suits working capital. Long-cycle projects need long-term capital, never withdrawable savings.

How to structure the business

Option	What it is	Strengths	Weaknesses	Fits
Department in the society's books	The business runs through the society's main account	Simple, no extra cost	Shop cash mixes with member savings. A loss eats savings directly. Profit is hard to see	Only a small, short commodity scheme
Business unit with its own account	Same legal entity, but a separate bank account titled in the society's name, its own cost centre and its own profit and loss	Cash is ring-fenced, profit is visible, and capital can be tracked out and back	Legal liability is still the society's	**The default for most ventures**
Subsidiary company	A company owned by the society, with its own registration, account and tax position	A legal ring-fence, and it can trade freely with the public	Registration, audit and tax cost, and a second board to govern	Large or risky ventures, such as a filling station or estate development, or mostly non-member trade

Recommendation.

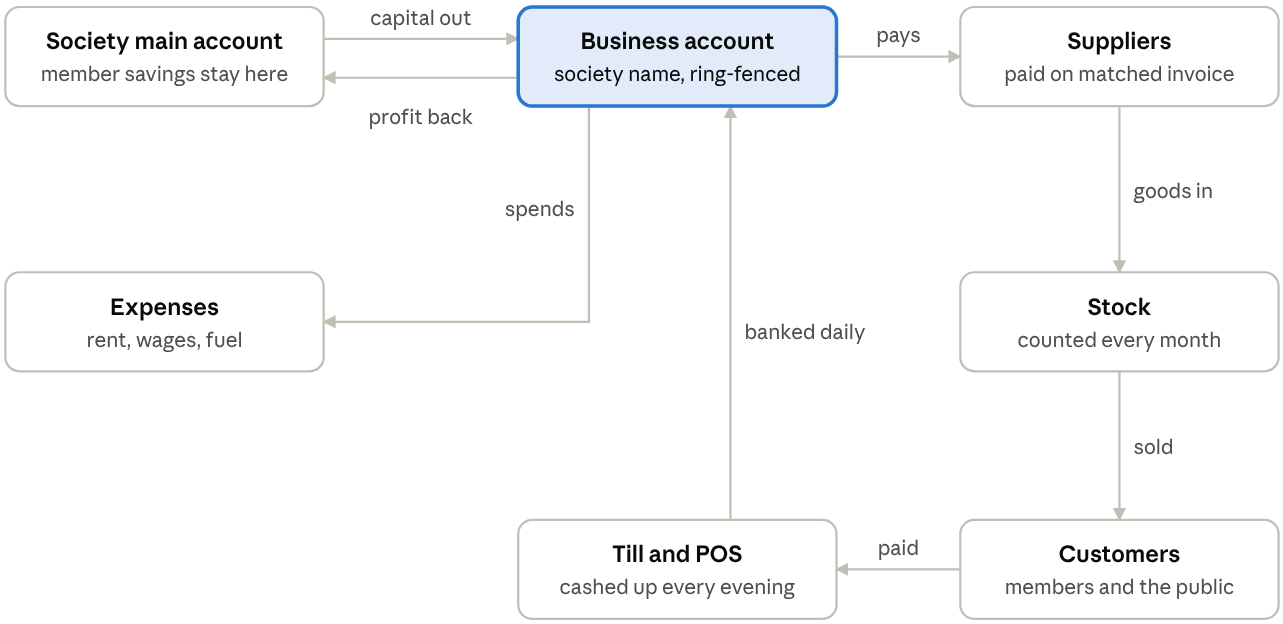
- Run every venture as a business unit with its own society-titled account from day one.
- Never let shop takings land in the account that holds member savings.
- Move to a subsidiary company when the venture becomes large, risky or mostly public-facing. Counsel must confirm the legal points in the law section.

Who does what.

Actor	Duties	Must never
General meeting	Approves the venture, its capital ceiling and the profit-sharing policy	
Board or management committee	Approves the business plan and budget, appoints the business committee, and reviews the monthly report	Run daily operations
Business committee	Oversees the business, and approves purchases and expenses above the manager's limit	Approve its own members' claims
Business manager	Runs operations, raises purchase requests, sets prices within policy, and signs the daily report	Hold cash or count stock alone
Cashier or sales attendant	Sells, collects payment, and cashes up with a witness	Receive stock or approve refunds
Storekeeper	Receives and issues stock, and keeps stock records	Handle sales cash
Treasurer	Releases capital, pays approved suppliers, and reconciles the business account	Raise the purchases they pay
Supervisory committee or internal auditor	Runs surprise cash and stock counts, and reviews the month	Take part in operations
External auditor	Audits the year, including the business unit	
Platform	Records every request, approval, sale, count and journal, and produces the reports	Hold any of the money

The cycle of every naira

Every naira the business takes in is banked before it is spent



the business money cycle · seven stops

How the money moves.

- Money enters the business only as approved capital from the society's main account.
- It leaves only to suppliers on matched invoices, and to approved expenses.
- All takings, whether cash, POS or transfer, are banked into the business account before anything is spent. No expense is ever paid from the till.
- Profit and capital go back to the society's main account on an agreed schedule.
- Member credit sales repaid through payroll check-off arrive in the society's account. They move to the business account monthly, matched line by line.

Money out

1. Releasing capital to the business.

1. The general meeting approves the venture and a capital ceiling, for example ₦10m for a foodstuff store.
2. The board approves the business plan: start-up costs, working capital, expected margin and payback period.

3. The treasurer releases capital in tranches against the plan, never the full ceiling at once. Each release is a payout from the society's main account to the business account, approved by the signatories.
4. The ledger records each tranche as capital invested in the business unit. This is an asset of the society, not an expense.

2. Buying stock.

1. **Purchase request.** The manager raises a request: items, quantities, the reason, and the stock level that triggered it.
2. **Quotes.** Above a set amount, three supplier quotes are attached. The business committee picks one and records why.
3. **Purchase order.** The approved request becomes a purchase order with agreed prices. Only approved suppliers on the supplier list can receive one.
4. **Goods received.** The storekeeper, not the manager, counts what arrives and records a goods-received note. It lists the quantity, the condition and any expiry dates.
5. **Invoice.** The supplier's invoice is entered.
6. **Three-way match.** The system matches order, goods-received note and invoice. Price or quantity differences beyond tolerance stop the payment.
7. **Payment.** The treasurer pays from the business account through the society's payout route, with two approvals. Withholding tax is deducted where it applies. The supplier gets a remittance advice.

3. Running expenses. Rent, wages, fuel, transport, repairs, power and levies follow the same request, approve and pay path. Recurring items such as rent and wages are approved once as a schedule, then paid on their dates with a check against the schedule.

4. Petty cash. Petty cash uses a fixed imprest, for example ₦30,000.

- Each spend needs a receipt or a signed voucher.
- The float is topped up only against receipts, back to the fixed amount, by transfer from the business account.
- Petty cash is never taken from sales cash.

5. Limits.

Spend	Who approves
Up to the manager's limit	Manager, plus the treasurer's payment approval

Spend	Who approves
Above the manager's limit	Business committee
Above the committee's limit, or anything outside the budget	Board
New supplier, or a change of supplier bank details	Business committee, with a cooling-off period before the first payment

Money in

Some points below come from secondary sources and are marked so in the research notes. Confirm current charges with the bank before launch.

Sales channels and where each naira lands.

Channel	Where the money lands	When	What the platform records
Transfer to the shop's own account number	The business account, through a reserved account per shop or till	Minutes	The webhook, confirmed by query, creates the sale receipt
Bank POS terminal	The business account	Next day, which the CBN requires for bank POS	Terminal report, then the settlement line
Paystack terminal	The business account	Next working day. About 0.5%, capped at ₦1,000	Webhook and settlement report
Moniepoint, OPay or PalmPay terminal	An account at the provider's own microfinance bank, not the society's bank	Same day	Must be swept to the business account daily, and the sweep matched
Cash	The till, then the business account at banking	Next business day at the latest	Cash-up report, then the deposit line

Channel	Where the money lands	When	What the platform records
Member credit by check-off	The society's main account, through the employer's remittance	Monthly	Credit sale, deduction line, then the monthly transfer to the business account

Recommendation.

- Push customers to transfer and bank POS, so the money lands straight in the business account with a record attached.
- Give each shop or till its own reserved account number, so sales by outlet are known without anyone typing them in.
- Avoid terminals that settle into a provider wallet unless the daily sweep is automated.
- Never put a cash-out agent terminal in the shop. The rules lock agent terminals to one location and one provider, and cash-out blurs shop takings.

The daily cash-up, step by step.

1. **Opening float.** Each till starts with the same fixed float, for example ₦20,000. It is issued and signed for.
2. **During the day.** Every sale is rung up on the shop system, whatever the payment method. Cash above a set amount is dropped into the safe and logged.
3. **Close of day.** The system prints the day's sales report by channel.
4. **Blind count.** The cashier counts cash without seeing the expected figure. A second person recounts.
5. **Compare.** Counted cash minus the float must equal recorded cash sales. The system records any over or short.
6. **Variances.** Small differences within tolerance are logged. Anything above tolerance goes to the treasurer that evening. Overs are treated as seriously as shorts, because both point to unrecorded sales.
7. **Banking.** Cash is banked by the next business day. The deposit slip is photographed and attached. Cash deposits currently carry no CBN limit or fee (secondary source).
8. **Reconciliation.** The next morning, someone who does not handle cash matches the deposit to the cash-up report on the bank statement.

Why cash leaves the business only through the bank.

- From 1 January 2026, companies pay 5% on cash withdrawals above ₦5m a week across all channels (secondary source). Cooperatives appear not to be exempt.
- Paying suppliers in cash also breaks the audit trail.
- So every supplier is paid by transfer. Cash only ever moves one way: from the till to the bank.

Fake alerts and reversals.

- Fake credit alerts and fake POS reversals are common.
- A sale paid by transfer counts only when the system has the bank's confirmation, never on a customer's screenshot or SMS.
- A POS reversal needs the manager's approval and the original receipt.

Member credit sales and commodity schemes.

- **Typical terms.** Many staff cooperatives sell foodstuff and household goods to members on credit, typically with a 5% flat markup over 6 to 12 months, repaid from salary with written consent (secondary sources).
- **How the system handles it.** It checks the member's credit headroom and records the sale at the cash price. It then adds the instalments to the next deduction schedule.
- **The markup.** It is spread as interest over the term, not booked as sales margin on day one.
- **The main risk.** An employer deducts from salary but does not pay the society. The deduction schedule and arrears ageing from the payroll tab apply here line by line.

Transport ventures.

- **Daily returns.** Drivers pay a fixed daily or weekly return, often ₦15,000 to ₦40,000 a day (secondary source), into a reserved account for each driver, never in cash.
- **Hire purchase.** Hire-purchase drivers have a ledger per vehicle.
- **Checks.** Telematics, fuel and odometer logs are checked against returns to spot under-declaring.

Stock

Receiving. The storekeeper counts every delivery against the purchase order. They record a goods-received note with quantity, condition, batch and expiry date. Short or damaged goods are noted on the delivery note before signing.

Records. The system keeps a running stock record. Every receipt adds to it, and every sale, transfer, return or write-off takes from it. The shelf should always match the record.

Issuing and rotation. Foodstuff is sold first-expired, first-out. Items within a set number of days of expiry are flagged for promotion or return to the supplier.

Counts.

Count	When	Who
Full count	Monthly, after closing	Storekeeper and a supervisory committee member, blind to the record
Spot count of high-value lines, such as rice, oil, sugar or fuel	Weekly, unannounced	Supervisory committee member
Count at handover	Whenever the storekeeper or manager changes	Outgoing and incoming staff, with a witness

Shrinkage.

- Count differences are written off to stock losses by item, with the person on duty recorded.
- No Nigerian benchmark was found. US retail reported shrink of about 1.6% of sales in 2022, and food retail runs nearer 3% (secondary sources).
- Set the board's tolerance at 1% to 2% of sales to start, and investigate anything above it.

Valuation. Under IAS 2, stock is valued at the lower of cost and net realisable value. Cost is calculated first-in, first-out, or by weighted average. Last-in, first-out is not allowed. Expired or damaged stock is written down at once.

Pricing. Selling prices are set from cost plus the margin the board approves for each line. Price changes are logged with who made them. The system flags any sale below cost.

The ledger

Society's books. The society holds one asset for each business, called "investment in business unit". It rises with every capital release and falls with every capital return. Profit returned is income to the society.

Business unit's books.

Account	Type
Business bank account	Asset
Cash in till and safe	Asset
Petty cash imprest	Asset
POS and transfer settlements in transit	Asset
Stock, by item	Asset
Member credit sales receivable, by member	Asset
Trade receivables, for credit customers who are not members	Asset
Equipment and vehicles, less depreciation	Asset
Suppliers payable, by supplier	Liability
Withholding tax and VAT payable	Liability
Capital from the society	Equity
Sales, by product line	Income
Cost of goods sold	Expense
Stock losses and write-offs	Expense
Cash over and short	Expense or income
Operating expenses, by type	Expense
Profit returned to the society	Equity, reduction

Journals for every event.

Event	Debit	Credit
Capital released, in the society's books	Investment in business unit	Society main account

Event	Debit	Credit
Capital released, in the business's books	Business bank account	Capital from the society
Goods received	Stock	Suppliers payable
Supplier paid	Suppliers payable	Business bank account, and withholding tax payable
Cash sale	Cash in till	Sales, and VAT payable where it applies
Cost of a sale, under perpetual stock	Cost of goods sold	Stock
POS or transfer sale	Settlements in transit	Sales
POS settlement lands in the bank	Business bank account	Settlements in transit, and bank charges
Cash banked	Business bank account	Cash in till
Cash short at cash-up	Cash over and short	Cash in till
Member buys on credit, at the cash price. Any markup is booked as interest income over the repayment term	Member credit sales receivable	Sales
Check-off repayment moved from the society	Business bank account	Member credit sales receivable
Expense paid	Expense, by type	Business bank account
Stock count shows a loss	Stock losses	Stock
Monthly depreciation	Depreciation expense	Accumulated depreciation
Profit returned to the society	Profit returned to the society	Business bank account
Capital returned to the society	Capital from the society	Business bank account

Rules.

- Every journal carries the document behind it: purchase order, goods-received note, invoice, daily cash-up report, settlement report or count sheet.
- Entries are never edited. Corrections are new entries that name what they correct.
- The business bank account in the ledger must equal the bank statement every day.
- Cash in till must be zero after each evening's banking, apart from the approved opening float.

Profit, and how it returns to the society

Monthly profit and loss for one business unit. The figures below are illustrative assumptions for a foodstuff store with ₦10m of capital.

Line	Monthly
Sales	₦6,000,000
Cost of goods sold, at an 85% cost ratio	₦5,100,000
Gross profit	**₦900,000**
Rent	₦150,000
Wages	₦250,000
Power and transport	₦100,000
Bank and POS charges	₦30,000
Depreciation	₦20,000
Stock losses, at 1.5% of sales	₦90,000
Net profit before tax	**₦260,000**

What the example shows.

- Over a year that is about ₦3.1m before tax. That is a return on capital of about 31%.
- The board compares it with what the same money would earn as member loans. A venture that cannot beat member lending, after risk, should not continue.
- Annual sales would be about ₦72m. That sits between the two small-company thresholds reported for the Nigeria Tax Act, ₦50m and ₦100m. So the exact threshold decides whether the profit is taxed.

Returning money to the society each month.

1. The board sets the working capital the business may keep, for example stock plus one month's expenses.
2. At month-end, the system shows cash in the business account above that level.
3. The treasurer returns the excess to the society's main account by an approved payout. It is recorded as profit returned up to the month's profit, and as capital returned beyond that.
4. Capital is either repaid on the schedule in the business plan, or left in as a long-term investment the general meeting has approved.

Year-end distribution under the Cooperative Societies Act.

1. **Reserve fund.** The society's net profit, including the business's, goes first to the reserve fund: at least 25%, unless the Director of Cooperatives varies it.
2. **Education fund.** Up to 10% of the remainder may go to an education fund, with the Director's approval.
3. **The rest.** The general meeting decides on the remainder, as the committee recommends:
   - dividend on shares (the Act sets no cap in normal years);
   - a bonus to members in proportion to their purchases or business, known as a patronage refund;
   - retained surplus.
4. **Accounting.** Patronage refunds and dividends are booked as appropriations of surplus once approved, not as expenses.

Worked appropriation, on the illustrative ₦3.1m profit.

Appropriation	Amount
Reserve fund, 25%	₦780,000
Education fund, up to 10% of the remaining ₦2.34m	Up to ₦234,000
Available for dividend, patronage refund or retention	About ₦2.1m

Tax on trading profit, if due, comes off before this split.

Law, tax and audit

The research read the Cooperative Societies Act, the 2025 tax Acts and a real cooperative bye-law in full. Points still unverified are marked. This is a brief for counsel and the society's tax adviser.

Powers under the Cooperative Societies Act.

- **Powers to trade and invest.** A registered society is a body corporate with general powers. It may invest in banks, in federal government securities, or "in any other manner approved by the Committee". There is no cap.
- **Borrowing.** It needs the general meeting's consent.
- **Non-members.** Lending to non-members is banned, except to other cooperatives. Other dealings with non-members are "as may be prescribed", so there is no blanket ban on selling to the public.
- **Share limits.** No member may hold more than one-fifth of the shares.
- **Subsidiaries.** A society may own a company under CAMA 2020. Chevron's cooperative owns its microfinance bank this way. The company is fully subject to company law and tax.
- **State laws.** Lagos now runs under its Cooperative Societies Law of 2022. Its exact percentages and deadlines could not be read, because the text is behind a paywall.

Audit.

- The society appoints an auditor.
- In practice, the state or FCT also runs a statutory audit and charges a supervision fee. One FCT bye-law sets aside 1% of surplus for it.
- Departmental accounts for each business unit are needed, so the auditor can split member income from trading income.

Income tax under the Nigeria Tax Act 2025.

- Cooperative profits are exempt, except profits from "any trade or business".
- So profits from a shop, fuel station, transport fleet or estate are taxable, whether the customers are members or not. The argument that dealings with members are mutual and therefore untaxed is untested.
- **Small-company relief.** A small company pays 0% income tax and no development levy. The version of the Act checked sets the turnover limit at ₦50m. Commentators say the signed version says ₦100m. Fixed assets must not exceed ₦250m. Confirm the signed text.

VAT.

- The standard rate is 7.5%.
- **Small-business exemption.** Businesses with turnover of ₦100m or less are exempt from registering, charging and filing.
- **Zero-rated.** Basic foods such as rice, oil, flour, garri and table water.
- **Exempt.** Shared passenger transport, and land and buildings.
- **Petroleum products.** VAT on petrol, diesel, kerosene and gas is suspended. Whether it has been switched back on is unconfirmed.

Other taxes.

- **Withholding tax on supplier payments.** 2% for goods, 5% for professional fees, and 10% for rent and interest. Small companies are exempt for payments of ₦2m or less a month.
- **PAYE.** Business staff pay PAYE on the new bands, with the first ₦800,000 at 0% and a top rate of 25%. Employer returns are due by 31 January.
- **Stamp duty.** Instruments executed by a cooperative are exempt.

Licences and levies.

- A cooperative running a supermarket, estate or hotel needs SCUML registration for anti-money-laundering.
- Lagos announced it will cut 65 levies to 9 in 2026, covering shops, motor parks and signage.
- Sector licences apply where relevant, such as product registration for a water factory or petroleum retail licences for a filling station.

Accounting.

- Smaller entities use IFRS for SMEs under the FRC framework. No cooperative-specific guidance was found.
- Member shares that can be withdrawn are usually treated as a liability.
- Stock is valued under IAS 2.

Risks, fraud and controls

What the evidence says.

- **How fraud is found.** The 2026 global occupational fraud study found 43% of cases were found through tips.

- **Why it happens.** More than half happened because controls were missing or overridden.
- **The cost to small organisations.** They lost a median of $141,000 per case in the 2024 study.
- **Nigerian cases.** The EFCC is prosecuting a ₦178.9m case against Covenant Fadama officials. There was a ₦2bn conviction in the Micheno case, and the ICPC has a thrift cooperative case.

Fraud pattern	How it happens	Controls
Cash skimming and under-ringing	A sale is taken but not recorded, and the cash is pocketed	Every sale rung up, receipts printed, blind counts, surprise till checks, a push to transfer and POS
Fake transfer alert or POS reversal	A customer shows a fake alert, or staff reverse a real POS sale	Count only bank-confirmed credits, and reversals need manager approval and the original receipt
Banking delay or teeming	Cash is banked late, with today's takings covering yesterday's gap	Bank by the next business day, and match deposits to cash-up reports daily
Ghost or friendly suppliers	Payments to a fake or related supplier, or inflated invoices	An approved supplier list, three quotes, three-way match, and a cooling-off period on bank detail changes
Stock theft	Goods leave without a sale	Separate storekeeper and cashier, weekly spot counts, CCTV, handover counts
Officials diverting proceeds	Senior officers redirect takings or capital	Business account separate from savings, two signatories, monthly reports to the board, member-visible results, annual audit
Unpaid check-off remittances	The employer deducts but does not remit	Line-by-line matching and arrears ageing, and escalation to the employer

Fraud pattern	How it happens	Controls
Over-investment	Capital is sunk into a weak venture	Capital released in tranches against the plan, and a quarterly review of return on capital
Lost records	Shop software shuts down and data is lost. Kippa shut down in January 2024 and users lost their data	Keep the platform as the record, export regularly, and choose tools with APIs

A rule worth writing into the bylaws. No one who handles cash or stock may approve payments, reconcile the bank or count their own till or shelf. Staff rotate duties, and annual leave is compulsory, because many frauds surface when the person is away.

Tracking dashboard

Daily, for the manager and treasurer.

- Sales by channel: cash, POS, transfer and member credit.
- Cash banked against cash sales, and the over or short.
- POS and transfer settlements due against settlements received.
- Stock items below their reorder level, and items near expiry.

Monthly, for the board.

Measure	What it tells you
Sales and gross margin by product line	Whether pricing covers cost
Operating expenses as a share of sales	Whether overheads are under control
Net profit, and return on capital employed	Whether the venture beats simply lending the money to members
Stock turnover, in days	Whether capital is stuck on shelves
Shrinkage as a share of sales	Losses from theft, damage and expiry
Member credit outstanding, by age	Whether credit sales are being repaid
Cash over and short, by cashier	Patterns that point to errors or theft

Measure	What it tells you
Capital outstanding, and profit returned to date	How much of the society's money is still at work in the business

Yearly, for members. Each member sees:

- the venture's result;
- the capital invested and returned;
- the profit added to the society's surplus;
- their own patronage, if the society pays refunds on purchases.

That keeps the shop accountable to the people whose money funded it.

System requirements and acceptance criteria

FR-BIZ-01 Business units. Each venture is set up as a business unit with its own society-titled bank account, its own books and a capital ceiling approved by the general meeting.

- A capital release above the approved ceiling is refused.
- Takings cannot be recorded into the society's main account.

FR-BIZ-02 Purchase to pay. Every supplier payment follows request, approval, purchase order, goods received, invoice, three-way match and payment.

- A payment without a matched goods-received note and invoice is refused.
- The person who raised the request cannot approve its payment.

FR-BIZ-03 Supplier master. Only approved suppliers can receive purchase orders.

- A new supplier, or a change of supplier bank details, needs committee approval and a cooling-off period before the first payment.

FR-BIZ-04 Daily cash-up. Every till is cashed up daily, with a count by a second person.

- The system compares counted cash with recorded cash sales and records the over or short.
- A variance above tolerance alerts the treasurer the same evening.

FR-BIZ-05 Banking. Cash is banked by the next business day.

- The deposit is matched to the cash-up report on the bank statement.
- An unmatched cash-up after two business days raises a break.

FR-BIZ-06 POS and transfer settlement. Every POS and transfer sale is matched to its settlement in the business account.

- A missing settlement after the provider's settlement time raises a break.

FR-BIZ-07 Stock. Receipts and sales update stock as they happen.

- A monthly full count, and surprise spot counts, record losses by item and by person on duty.
- Shrinkage above the board's tolerance alerts the supervisory committee.

FR-BIZ-08 Member credit sales. A member's credit purchases are limited by their credit headroom.

- Each purchase is added to the next payroll deduction schedule.
- Repayments are matched line by line, and arrears are aged.

FR-BIZ-09 Monthly results. The system produces each business unit's profit and loss, balance sheet, cash flow and return on capital by the fifth working day of the month.

FR-BIZ-10 Return of capital and profit. Surplus cash above the approved working capital is returned to the society's main account monthly, by an approved payout.

- Each return is recorded as capital returned or profit returned.

FR-BIZ-11 Audit trail. Every naira in the business account traces to a source document and an approval. The auditor can follow any figure from the report down to the receipt.

Open questions and next steps

For the tax adviser and counsel.

1. Which small-company turnover limit is in the signed Nigeria Tax Act, ₦50m or ₦100m?
2. Is trading with members taxable, or does mutuality apply?
3. When should a venture move into a subsidiary company?
4. What do the Lagos 2022 Law, and the society's own state law, say on reserve percentages, audit deadlines and investment approvals?
5. Has VAT on petroleum products been switched back on?

For the bank.

1. Confirm the 2026 charges on corporate cash withdrawals and on cash deposits.

2. Confirm POS settlement to the business account, and a reserved account number for each shop or till.

For each society starting a venture.

1. Write the business plan:
   - capital and tranches;
   - margins;
   - working capital;
   - payback;
   - the comparison with member lending.
2. Get general meeting approval of the venture, the capital ceiling and the profit policy.
3. Open the business account in the society's name, and appoint the business committee, manager, cashier and storekeeper.
4. Set the approval limits, the cash tolerance and the shrinkage tolerance.

For the platform.

1. Add FR-BIZ-01 to FR-BIZ-11 to the FRD tab.
2. Build the business-unit books, purchase-to-pay, the daily cash-up and the monthly profit report first.
3. Pilot with one commodity scheme, because it uses the payroll check-off flow already designed. Then add one shop.

Full notes are in coop_business_law_tax_ventures.md and coop_business_cash_stock_controls.md in the research folder.